

The New GOLD RUSH

Need money? Just pledge your gold with a bank to get up to 80 per cent of its value at 12-15 per cent interest

By Malini Bhupta |

A day before Anuja and Mohan Ghadi could take possession of their new flat in Mumbai, they discovered that they were short of Rs 50,000. Instead of going to a moneylender or pawn shop, Anuja's jewellery came to their rescue as she walked into her bank to borrow against the value of the gold. Says she: "Initially, I thought I would have to borrow from the local moneylender at 36 per cent rate of interest."

The idea of pawning gold jewellery for money may not be new, but now banks are discovering that it makes business sense to lend against a secure asset like gold. As interest rates refuse to come down and consumers find it tough to get loans, risk-averse banks have come up with an innovative solution. Having burnt their fingers with retail loans like personal and business loans, which come with no collaterals, the idea of gold loans has captured the imagination of banks and non-banking finance companies (NBFCs) alike.

Offered at competitive rates, ranging between 12 and 15 per cent, this is most certainly a win-win product for both lenders and borrowers. While a gold loan offers safe collateral to the lender on one hand, it offers the consumer low rates, as personal loans come at between 15 and 19 per cent. Retail credit came to a standstill last year, but gold loans have been flourishing. The State Bank of India's (SBI) agricultural gold loan portfolio has jumped by Rs 490 crore in one year, while its total gold loan portfolio adds

up to Rs 3,000 crore. A recent entrant in this segment, Andhra Bank is targeting Rs 100 crore in gold loans only from Mumbai, while its existing gold loan portfolio is Rs 1,500 crore. HDFC Bank, which entered the fray 24 months ago, is clocking a year-on-year growth of 60 per cent.

NBFCs like the Muthoot Group and Manappuram Finance have, however, been tapping this segment in the southern states for some time now. Given that Indians rarely book profits on their physical gold investments, this asset class is known to yield merely notional gains—a situation banks are hoping will change. Banks



say small and medium businesses often take these loans as their need is not long term and gold loans come really quick with little paperwork.

Given that every Indian owns some quantity of gold, all are potential customers. Says Biju Pillai, executive vice-president and business head of loans against securities and home loans at HDFC Bank: "Traditionally,



ANUJA MOHAN GHADI, 55 MUMBAI

With banks going slow on consumer loans, Ghadi discovered that she could get a quick loan against her gold ornaments. After deducting a small margin and interest amount, the bank gave her a loan against her gold jewellery. At the end of the loan tenure, she will have to repay the principal to get her jewellery back. Banks are cashing in on the gap left by moneylenders' usurious rates of 30-40 per cent on such loans.